

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4333

By: Moore and **Archer** of the
House

and

Rader of the Senate

7
8
9
10 COMMITTEE SUBSTITUTE

11 An Act relating to Commissioners of the Land Office;
12 amending 64 O.S. 2021, Sections 1002, 1002A, 1003,
13 1004, 1006, 1007, 1010, 1011, 1013, as amended by
14 Section 40, Chapter 228, O.S.L. 2022, 1022, 1023, as
15 amended by Section 1, Chapter 360, O.S.L. 2025, 1034,
16 1047, 1052, 1053, 1055, 1056, 1063, 1069, 1071, 1086,
17 and 1089 (64 O.S. Supp. 2025, Sections 1013 and
18 1023), which relate to the Commissioners of the Land
19 Office Modernization Act; modifying the powers and
20 authority of the Commissioners; allowing, rather than
21 requiring, the Commissioners to exchange land for
22 certain properties; authorizing, rather than
23 requiring, the Commissioners to request certain
24 easement via petition; replacing reference to
 realtors with reference to real estate licensees;
 authorizing licensees to be used for certain purpose;
 directing the Lieutenant Governor to serve as vice-
 chair in the absence of certain election; modifying
 authority of the Secretary of the Land Office;
 directing the Commissioners to maintain certain
 licenses for certain employees; removing language
 creating a cash drawer change fund; allowing the
 permanent school fund to be invested in certain
 investments; removing language providing for
 calculation of investments in real property; allowing
 the Commissioners to retain external real estate
 property managers; modifying method for choosing

1 investment managers and investment property managers;
2 allowing investment real estate property managers
3 full discretion on certain leasing and operations;
4 directing execution of certain leases upon approval
5 of the Secretary of the Land Office; exempting
6 certain leases from term limitations; defining term;
7 removing references to the Cash Management and
8 Investment Oversight Commission; requiring electronic
9 submission of certain report; prohibiting the
10 Commissioners from taking any action to impede
11 certain development; exempting certain investment
12 real estate from certain term limitations; directing
13 investment real estate leases to provide for certain
14 value; prohibiting an abstention from being
15 considered in certain vote; requiring the
16 Commissioners to advertise certain sale of lands and
17 improvements; modifying frequency of publication of
18 sale; allowing certain designee to provide certain
19 information; clarifying requirement to appraise
20 certain improvements; allowing certain public auction
21 to be held via live bidding or a combination of live
22 and online bidding; allowing the Commissioners to
23 issue certain patent to certain purchaser; directing
24 patent or deed to contain certain provisions;
clarifying the authority of the Commissioners over
certain leasing; allowing oil and gas leases to be
encumbered; modifying source of funds for the
Multiyear Education Distribution Stabilization
Revolving Fund; allowing the Commissioners to convey
certain execution ability to the Secretary of the
Land Office; providing for approval of exchange of
state-owned lands; clarifying application of certain
contracting requirement; making language gender
neutral; updating statutory reference; updating
statutory language; repealing 64 O.S. 2021, Sections
1014, 1021, 1030, 1050, 1054, and 1061, which relate
to the Commissioners of the Land Office Modernization
Act; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. AMENDATORY 64 O.S. 2021, Section 1002, is
2 amended to read as follows:

3 Section 1002. In order that the state school lands may be
4 administered in a manner to assure their preservation as well as the
5 appreciation of the trust estate and the maximum return from the use
6 of state school lands for the support and maintenance of the common
7 schools of the state, the Commissioners of the Land Office, as
8 trustees of the state school lands, are hereby authorized and
9 empowered to:

10 1. Categorize the state school lands as agricultural ~~or~~,
11 commercial, or investment according to the use which the
12 Commissioners of the Land Office determine from time to time to be
13 most beneficial to the interest of the present and future
14 beneficiaries of ~~the~~ this state;

15 2. Sell, at public auction after appraisement, the surface
16 interest in any state school land categorized by the Commissioners
17 of the Land Office to be excess or when determined to be in the best
18 interest of the trust;

19 3. Institute projects to develop and improve those state school
20 lands which are categorized as commercial or investment lands;

21 4. Acquire by exchange, purchase, gift, or grant all real
22 property and to acquire by exchange, purchase, gift, or grant all
23 personal property including donations and funds necessary for the
24 purpose of utilizing trust lands for the development of commercial

1 ~~and~~, agricultural, investment, oil and gas, or other leases or
2 Commissioners of the Land Office operations to maximize trust income
3 for present and future beneficiaries; ~~and~~

4 5. Exchange any real property of the trust for other real
5 property of equal or greater value to maximize income for present
6 and future beneficiaries, in accordance with and under the safeguard
7 of trust requirements; and

8 6. Purchase, own, and operate motor vehicles necessary for use
9 in their operations and purchase insurance on such motor vehicles in
10 accordance with statutory provisions and subject to the approval of
11 the Risk Management Administrator as provided for in Section 85.58A
12 of Title 74 of the Oklahoma Statutes.

13 SECTION 2. AMENDATORY 64 O.S. 2021, Section 1002A, is
14 amended to read as follows:

15 Section 1002A. The Commissioners of the Land Office ~~shall~~ may,
16 in compliance with Oklahoma law and all of the duties as trustees,
17 use their best efforts to exchange undeveloped land owned by the
18 Commissioners of the Land Office for privately held investment or
19 commercial properties and. Before approving such exchange, the
20 Commissioners of the Land Office shall consider the impact on
21 affected taxing districts prior to the exchange or purchase of
22 investment or commercial properties.

23 SECTION 3. AMENDATORY 64 O.S. 2021, Section 1003, is
24 amended to read as follows:

1 Section 1003. A. The Commissioners of the Land Office may
2 grant easements to entities with power of eminent domain pursuant to
3 the policies of Section 13 of Title 27 of the Oklahoma Statutes.

4 B. The Commissioners shall, upon written application, grant
5 easements to:

6 1. Nonprofit rural water districts organized pursuant to
7 Section 863 of Title 18 of the Oklahoma Statutes;

8 2. Rural water districts organized pursuant to the Rural Water,
9 Sewer, Gas and Solid Waste Management Districts Act; or

10 3. Rural electric cooperatives organized pursuant to Section
11 437 et seq. of Title 18 of the Oklahoma Statutes, for the purpose of
12 laying a water or power line upon the property.

13 C. Prior to the granting of such easement, ~~an appraisal shall~~
14 ~~be conducted to~~ the Commissioners of the Land Office shall determine
15 the fair market value of the easement. ~~The~~ If the district or
16 cooperative requesting the easement ~~shall~~ disagrees with such value,
17 it may petition the ~~District Court~~ district court in the county in
18 which the easement is located to determine the fair market value of
19 the easement. The court shall appoint three disinterested persons
20 who are residents of that county who shall first take an oath to
21 fairly and impartially appraise the value of the easement. The
22 appraisers shall meet and determine the fair market value of the
23 easement, in writing, and return the same under their signatures to
24 the court. ~~Said~~ The appraisal shall show the fair market value of

1 the easement. ~~Appraiser's~~ Appraiser fees shall be set by the court
2 and charged to the requesting district or cooperative as costs. The
3 district or cooperative shall enclose a certified copy of the
4 appraisal and payment in the amount of the appraised value with its
5 written request for easement to the Commissioners of the Land
6 Office. Except for the amount received for the granting of an
7 easement, no additional fees or other charges shall be assessed by
8 the Commissioners of the Land Office for the granting of such
9 easement.

10 D. The granting of easements pursuant to this section shall be
11 timely and shall not exceed sixty (60) days from date that the
12 appraisal is submitted to the district court.

13 E. Easements shall run concurrently with the life of the
14 facilities installed.

15 SECTION 4. AMENDATORY 64 O.S. 2021, Section 1004, is
16 amended to read as follows:

17 Section 1004. The Commissioners of the Land Office may retain
18 ~~realtors~~ real estate licensees for the purpose of securing tenants
19 in the ~~commercial~~ leasing of investment and commercial trust
20 property and for the purpose of assisting with the sale of
21 investment and commercial trust property. ~~Realtors~~ Real estate
22 licensees shall be chosen by a solicitation of proposals on a
23 competitive bid basis pursuant to standards set by the
24 Commissioners. The process of selecting ~~realtors~~ real estate

1 licensees shall be exempt from the Oklahoma Central Purchasing Act.
2 The ~~Commission~~ Commissioners may pay ~~realtors~~ real estate licensees
3 retained to secure tenants for trust property or assist with the
4 sale of trust property on a commission basis.

5 SECTION 5. AMENDATORY 64 O.S. 2021, Section 1006, is
6 amended to read as follows:

7 Section 1006. The Governor ~~of the State of Oklahoma~~ shall be
8 designated as ~~chairman~~ chair ex officio of the Commissioners of the
9 Land Office. The Commissioners ~~shall~~ may elect from their body a
10 ~~vice-chairman~~ vice-chair whose duty it shall be to act as ~~chairman~~
11 chair in the absence of the ~~chairman~~ chair or in case of the
12 failure, neglect, or refusal of the ~~chairman~~ chair to act. In the
13 absence of such an election, the Lieutenant Governor of this state
14 shall serve as the vice-chair.

15 The Secretary of the Land Office shall select for employment all
16 employees as may be deemed necessary and appropriate to properly
17 operate the Land Office, except the General Counsel for the ~~Land~~
18 ~~Commission~~ Commissioners of the Land Office who shall be selected by
19 a majority of the ~~Commission~~ Commissioners.

20 The Commissioners, by a majority vote, may remove the Secretary
21 of the Land Office and the General Counsel of the Land Office. The
22 Secretary may discharge and remove any employee of the Land Office.

23 SECTION 6. AMENDATORY 64 O.S. 2021, Section 1007, is
24 amended to read as follows:

1 Section 1007. ~~The head of each division in the Department of~~
2 ~~the Commissioners of the Land Office shall be under the immediate~~
3 ~~supervision and command, in the administration of their divisions,~~
4 ~~of~~ Subject to the requirements of the Commissioners of the Land
5 Office Modernization Act, the Secretary of the Land Office shall
6 have the authority and discretion to organize and maintain the
7 organizational structure of the Land Office.

8 SECTION 7. AMENDATORY 64 O.S. 2021, Section 1010, is
9 amended to read as follows:

10 Section 1010. The Commissioners of the Land Office shall be
11 responsible for and pay the fee for ~~obtaining~~ maintaining a real
12 estate ~~appraiser~~ license including, but not limited to, real estate
13 licensee, broker, and appraiser licenses for any Land Office
14 employee who is required to ~~obtain~~ maintain such license to perform
15 job duties.

16 SECTION 8. AMENDATORY 64 O.S. 2021, Section 1011, is
17 amended to read as follows:

18 Section 1011. ~~A.~~ There is hereby created a revolving fund for
19 the Commissioners of the Land Office to be designated the
20 "Commissioners of the Land Office Revolving Fund". The fund shall
21 be a continuing fund not subject to fiscal year limitations and into
22 which shall be paid all fees that may be collected by the
23 Commissioners of the Land Office, transfers from other revolving
24 funds of the Commissioners of the Land Office, and any monies

1 designated for transfer into the fund. In addition, available
2 monies received within an annual period may be added to the fund
3 upon designation by the Secretary of the Land Office~~ti~~; in such case
4 the funds are hereby appropriated and may be budgeted and expended
5 by the Commissioners of the Land Office within the annual period in
6 which received or thereafter in the performance of the
7 constitutional and statutory trust duties of the Commissioners of
8 the Land Office. Monies from the fund may be used to pay for all
9 books, forms, and other necessary equipment and supplies for the
10 installation and maintenance of a modern system of accounting,
11 necessary printing expenses, abstracts, refunds, expenses incidental
12 to the operation of the Land Office, necessary communication and
13 traveling expenses incurred by the employees of the Land Office,
14 attorney fees and litigation expenses, collection costs and
15 expenses, distributions, and conservation and commercial property
16 upgrades. The Commissioners of the Land Office may also use monies
17 in the revolving fund for any expenses of the Land Office related to
18 ~~personal~~ personnel services, operating expenses, the purchase of
19 equipment, and for the performance of all duties necessary and as
20 may be prescribed to carry out the function of the Land Office. All
21 funds accruing to the fund are hereby appropriated. Monies in the
22 fund may be invested by the State Treasurer in the manner prescribed
23 in Section 89.1a et seq. of Title 62 of the Oklahoma Statutes.

1 Interest income derived from the investment of monies in the fund
2 shall be credited to and placed in the fund.

3 ~~B. There is hereby created a cash drawer change fund for the~~
4 ~~Commissioners of the Land Office. The fund shall be used as cash~~
5 ~~for the Land Office to make change for customers and for the payment~~
6 ~~of emergency purchases and bills. The amount held in the fund shall~~
7 ~~not exceed One Thousand Dollars (\$1,000.00). The initial amount in~~
8 ~~the fund shall be drawn by warrant from the revolving fund created~~
9 ~~pursuant to subsection A of this section. All adjustments to the~~
10 ~~amount retained in the fund shall be by withdrawal and deposit in~~
11 ~~the revolving fund established pursuant to subsection A of this~~
12 ~~section upon the filing of a claim with proper receipts showing the~~
13 ~~disbursement therefrom. Officers, employees or agents of the Land~~
14 ~~Office shall be prohibited from receiving change from the fund.~~

15 SECTION 9. AMENDATORY 64 O.S. 2021, Section 1013, as
16 amended by Section 40, Chapter 228, O.S.L. 2022 (64 O.S. Supp. 2025,
17 Section 1013), is amended to read as follows:

18 Section 1013. A. The Commissioners of the Land Office shall be
19 responsible for the investment of the permanent school funds, other
20 educational funds, and public building funds solely in the best
21 interests of the current and future beneficiaries. The
22 Commissioners of the Land Office shall make investments:

23 1. For the exclusive purpose of:
24

- a. providing maximum benefits to current and future beneficiaries, and
- b. defraying reasonable expenses of administering the trust funds;

2. With the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like enterprise of a like character and with like aims would use; and

3. By diversifying the investments of the trust funds so as to minimize the risk of large losses.

B. The permanent school fund and other educational funds may only be invested in bonds issued in the United States, United States dollar denominated or other investments settled in United States dollars or traded on the United States exchange markets, investments subject to the Invest in Oklahoma Act, private equity or private credit investments, and real property to be owned or acquired by the Commissioners of the Land Office. The Commissioners of the Land Office shall not invest more than sixty percent (60%) of the trust fund investments in equity securities. The Commissioners of the Land Office are further authorized to acquire, purchase, exchange, and grant any real property under ~~its~~ their jurisdiction as is necessary to carry out the investment in the real property, which shall be classified specifically as investment property. The Commissioners of the Land Office shall not invest more than five percent (5%) of the total value of the assets of the permanent

1 school funds in connection with real property classified as
2 investments in real property. ~~The calculation of investments in~~
3 ~~real property within the five percent (5%) cap shall not include the~~
4 ~~value of real property under long term lease to the State of~~
5 ~~Oklahoma, agencies of the state or subdivisions thereof.~~ In no case
6 shall the Commissioners of the Land Office bid against private-
7 sector bidders above the appraised value of any property to be
8 acquired.

9 C. The Commissioners shall establish an investment committee.
10 The investment committee shall be composed of not ~~more~~ fewer than
11 three members of the Commissioners of the Land Office or their
12 designees. The committee shall make recommendations to the
13 Commissioners of the Land Office on all matters related to the
14 choice of managers of the assets of the funds, on the establishment
15 of investment and fund management guidelines, and in planning future
16 investment policy. The committee shall have no authority to act on
17 behalf of the Commissioners of the Land Office in any circumstances
18 whatsoever. No ~~recommendations~~ recommendation of the committee
19 shall have effect as an action of the Commissioners of the Land
20 Office or take effect without the approval of the Commissioners as
21 provided by law. The Commissioners shall promulgate and adopt on an
22 annual basis an investment plan. The investment plan shall state
23 the criteria for selecting investment managers, the allocation of
24

1 assets among investment managers, and established standards of
2 investment and fund management.

3 D. The Commissioners shall retain qualified investment managers
4 to provide for investment of the fund monies and may retain external
5 real estate property managers for the management of investment real
6 property pursuant to the investment plan. Investment managers and
7 investment property managers shall be chosen ~~by a solicitation of~~
8 ~~proposals on a competitive bid basis~~ pursuant to standards set by
9 the Commissioners in compliance with Section 85.7 of Title 74 of the
10 Oklahoma Statutes. Subject to the investment plan, each investment
11 manager shall have full discretion in the management of the funds ~~or~~
12 ~~investment real property~~ allocated to ~~the investment managers~~ each
13 manager. The funds allocated to investment managers shall be
14 actively managed by them, which may include selling investments and
15 realizing losses if the action is considered advantageous to longer
16 term return maximization. Because of the total return objective, no
17 distinction shall be made for management and performance evaluation
18 purposes between realized and unrealized capital gains and losses.
19 Subject to the investment plan, investment real estate property
20 managers shall have full discretion on leasing and operations of the
21 investment real estate under their management subject to budget
22 restrictions placed by the Commissioners of the Land Office.
23 Further, all leases pertaining to the investment real estate shall
24 be executed by the Commissioners of the Land Office upon approval by

1 the Secretary of the Land Office. Leases on investments shall be
2 exempt from term limitations for commercial property held by the
3 Commissioners of the Land Office as long as the investments are
4 managed by external investment real estate property managers and the
5 lease terms are consistent with the market; however in no event
6 shall a lease on investment real estate exceed twenty-five (25)
7 years including all options. For the purposes of this section,
8 "investment real estate" means properties purchased as investments
9 and managed as part of the investment plan.

10 E. The Commissioners shall take any measures they deem
11 appropriate to safeguard custody of securities and other assets of
12 the trusts.

13 F. By September 1 of each year, the Commissioners shall develop
14 a written investment plan for the trust funds.

15 G. The Commissioners shall compile a quarterly financial report
16 showing the performance of all the combined funds under their
17 control on a fiscal year basis. The report shall contain a list of
18 all investments made by the Commissioners and a list of any
19 commissions, fees, or payments made for services regarding the
20 investments for that reporting period. The report shall be based on
21 market values and shall be compiled pursuant to uniform reporting
22 standards prescribed by the Oklahoma State Pension Commission for
23 all state retirement systems. The report shall be electronically
24 distributed to the Oklahoma State Pension Commission, ~~the Cash~~

1 ~~Management and Investment Oversight Commission,~~ and the Legislative
2 Service Bureau.

3 H. Before January 1 of each year, the Commissioners shall
4 publish an annual report of all ~~Trust~~ trust operations, presented in
5 a simple and easily understood manner to the extent possible. The
6 report shall be submitted electronically to the Governor, the
7 Speaker of the House of Representatives, the President Pro Tempore
8 of the Senate, the State Department of Education, and each higher
9 education beneficiary. The annual report shall cover the operation
10 of the ~~Trusts~~ trusts during the past fiscal year including income,
11 disbursements, and the financial condition of the ~~Trusts~~ trusts at
12 the end of each fiscal year on a cash basis. The annual report
13 shall also contain a summary of the assets of each trust and current
14 market value as of the report date.

15 I. ~~The Cash Management and Investment Oversight Commission~~
16 Invest in Oklahoma Board shall review reports prepared by the
17 Commissioners of the Land Office ~~pursuant to this subsection~~
18 pertaining to their investments made in the Invest in Oklahoma
19 program and shall make recommendations regarding the investment
20 strategies and practices, the development of internal auditing
21 procedures and practices, and any other matters as determined
22 necessary and applicable.

23 J. The Commissioners of the Land Office shall select one or
24 more custodial banks to settle transactions involving the investment

1 of the funds under the control of the Commissioners of the Land
2 Office. The Commissioners of the Land Office shall review the
3 performance of each custodial bank at least once every year. The
4 Commissioners of the Land Office shall require a written competitive
5 bid every ten (10) years. The custodial bank shall have a minimum
6 of Five Hundred Million Dollars (\$500,000,000.00) in assets to be
7 eligible for selection. Any out-of-state custodial bank shall have
8 a service agent in the State of Oklahoma so that service of summons
9 or legal notice may be had on the designated agent, and the bank
10 shall submit to the jurisdiction of Oklahoma state courts for
11 resolution of any and all disputes. In order to be eligible for
12 selection, the custodial bank shall allow electronic access to all
13 transaction and portfolio reports maintained by the custodial bank
14 involving the investment of state funds under control of the
15 Commissioners of the Land Office ~~and to the Cash Management and~~
16 ~~Investment Oversight Commission.~~ The requirement for electronic
17 access shall be incorporated into any contract between the
18 Commissioners of the Land Office and the custodial bank. Neither
19 the Commissioners of the Land Office nor the custodial bank shall
20 permit any of the funds under the control of the Commissioners of
21 the Land Office or any of the documents, instruments, securities, or
22 other evidence of a right to be paid money to be located in any
23 place other than within a jurisdiction or territory under the
24 control or regulatory power of the United States government.

1 SECTION 10. AMENDATORY 64 O.S. 2021, Section 1022, is
2 amended to read as follows:

3 Section 1022. The Commissioners of the Land Office shall
4 reserve and retain one hundred percent (100%) of all oil, gas, and
5 other minerals under any school lands and shall not sell nor take
6 any action to impede the development of any oil, gas, or other
7 mineral interest under the authority or jurisdiction of the
8 Commissioners.

9 SECTION 11. AMENDATORY 64 O.S. 2021, Section 1023, as
10 amended by Section 1, Chapter 360, O.S.L. 2025 (64 O.S. Supp. 2025,
11 Section 1023), is amended to read as follows:

12 Section 1023. A. The Commissioners of the Land Office are
13 authorized to grant commercial leases and agricultural leases in
14 trust property.

15 Commercial leases shall not exceed fifty-five (55) years. The
16 granting of any commercial lease in excess of three (3) years shall
17 be by public bidding at not less than fair market value. All
18 commercial leases shall provide for fair market value throughout the
19 term of the lease. Such term limitations shall not apply to
20 investment real estate as defined in subsection D of Section 1013 of
21 this title. Investment real estate leases shall have the term
22 limitations provided for in subsection D of Section 1013 of this
23 title. All investment real estate leases shall provide for fair
24 market value throughout the term of the lease.

1 Agricultural leases of trust property shall be limited to a
2 maximum of five (5) years and shall be by public bidding at not less
3 than fair market value.

4 The granting of any interest in trust property at less than fair
5 market value or not in compliance with this section is void.

6 Any permanent improvement made on commercial trust property from
7 and after July 1, 1989, shall revert to the trust at the end of the
8 lease.

9 B. In connection with any commercial and agricultural leases,
10 the Commissioners of the Land Office shall, unless otherwise
11 exempted by the Constitution or laws of this state:

12 1. Require payment of ad valorem property taxes on any
13 improvements and structures on state school land, which would
14 otherwise be subject to ad valorem property taxation if constructed
15 on privately owned land; and

16 2. Indemnify and hold harmless the Commissioners of the Land
17 Office from any financial obligation related to land, financing, or
18 operation.

19 C. An appraiser selected by the Commissioners of the Land
20 Office shall appraise any improvements approved by the Commissioners
21 of the Land Office made to the property leased as an agricultural
22 lease by the current lessee that cannot be removed without manifest
23 injury to the land. When the Commissioners enter into a new lease
24 for the property, the lease shall require the new lessee to

1 reimburse the previous lessee for the appraised value of any
2 improvements made by the previous lessee by the date the new lessee
3 is permitted to take occupancy of the property. It shall be
4 considered a default of the lease of the property to the new lessee
5 if such reimbursement is not made. Provided, no fees may be charged
6 to a lessee above those included in the originally accepted bid to
7 irrigate land used for agricultural purposes if the water is not
8 sourced from lands owned or managed by the Commissioners.

9 D. The Commissioners of the Land Office may refuse to accept
10 any bid or lease on a commercial, agricultural, or mineral lease
11 where the party is in default of any installment due or in violation
12 of any provisions contained in a prior or current lease contract.

13 E. The Commissioners of the Land Office may refuse to accept
14 any bid or lease contract where the interested party cannot show
15 adequate creditworthiness as determined by the Land Office.

16 F. The Commissioners of the Land Office shall promulgate rules
17 to implement the provisions of this section.

18 SECTION 12. AMENDATORY 64 O.S. 2021, Section 1034, is
19 amended to read as follows:

20 Section 1034. A permanent minute record shall be kept of all
21 proceedings had by the Commissioners of the Land Office. ~~No~~ Unless
22 otherwise specified in the Commissioners of the Land Office
23 Modernization Act, no action of the Commissioners of the Land Office
24 shall be valid unless voted on by at least three members with the

1 majority of votes cast in favor of the action. An abstention shall
2 not be considered a vote cast. No action taken, or which may be
3 taken by the Commissioners of the Land Office, may be rescinded
4 except by a three-fifths (3/5) or greater vote of the full
5 membership of the ~~Board of~~ Commissioners of the Land Office. The
6 Commissioners of the Land Office shall approve the minutes of each
7 ~~Board~~ meeting at the next succeeding meeting.

8 SECTION 13. AMENDATORY 64 O.S. 2021, Section 1047, is
9 amended to read as follows:

10 Section 1047. Before selling lands and improvements authorized
11 to be sold, the Commissioners of the Land Office shall advertise the
12 sale by publication calculated to bring the highest and best bids.
13 Before selling any public, state, or school lands, the Commissioners
14 of the Land Office shall advertise the fact that the sale shall be
15 had by publication in ~~four consecutive issues of at least one weekly~~
16 a newspaper of general circulation at least once per week for four
17 (4) consecutive weeks in the county in which ~~said~~ such lands are
18 situated. The notice shall state the time, place, and terms of
19 sale, give a brief description of the land and improvements, and of
20 the appraised value of the land and the appraised value of the
21 improvements, and state that any further information that is desired
22 may be obtained by addressing the Secretary ~~to the Commissioners~~ of
23 the Land Office or his or her designee.

1 SECTION 14. AMENDATORY 64 O.S. 2021, Section 1052, is
2 amended to read as follows:

3 Section 1052. Before any lands under the jurisdiction and
4 control of the Commissioners of the Land Office, covered by
5 preference right leases and the improvements located on the land are
6 owned by the lessees, shall be offered for sale and sold, the
7 Commissioners of the Land Office shall cause the same to be
8 appraised by three disinterested appraisers, who are nonresidents of
9 the county in which the land is situated, to be selected by the
10 Secretary of the Land Office. The appraisers, before entering upon
11 their duties, shall take and subscribe to the oath required of state
12 officers. The appraisers shall make a true appraisal of the
13 lands at the actual cash value thereof, exclusive of all
14 improvements, and shall separately appraise all improvements owned
15 by the lessee which ~~can~~ cannot be removed without manifest injury to
16 the land.

17 SECTION 15. AMENDATORY 64 O.S. 2021, Section 1053, is
18 amended to read as follows:

19 Section 1053. The lands authorized to be sold shall be offered
20 for sale to the highest bidder at public auction in the county in
21 which the land is situated. The auction may be held via live
22 bidding or a combination of live bidding and online bidding
23 submitted via the Internet or similar electronic means. The sale
24 shall be ~~made~~ closed and completed within six (6) months from the

1 date of the ~~final~~ approval of the appraisalment by the Commissioners
2 of the Land Office, unless for good cause shown, the Commissioners
3 of the Land Office extend the time of offering the land for sale for
4 a period not to exceed one (1) year from the effective date of ~~the~~
5 ~~final approval~~ of the appraisalment.

6 SECTION 16. AMENDATORY 64 O.S. 2021, Section 1055, is
7 amended to read as follows:

8 Section 1055. The Commissioners of the Land Office upon
9 completion of the sale of lands and improvements and receipt of the
10 purchase price shall issue a patent or deed to the purchaser which
11 shall contain a provision reserving the oil, gas, ~~and other~~
12 minerals, and any other property or property right as provided for
13 in this title, required by law, or required by resolution of the
14 Commissioners of the Land Office.

15 SECTION 17. AMENDATORY 64 O.S. 2021, Section 1056, is
16 amended to read as follows:

17 Section 1056. Except as otherwise provided by law, all the
18 public lands of this state shall be subject to lease in the manner
19 provided by law. The Commissioners of the Land Office shall have
20 charge of the leasing of the lands under their control.

21 SECTION 18. AMENDATORY 64 O.S. 2021, Section 1063, is
22 amended to read as follows:

23 Section 1063. The Commissioners of the Land Office are
24 authorized to lease for oil and gas purposes any of the school or

1 other lands owned by the State of Oklahoma, which such Commissioners
2 may deem valuable for oil and gas. Each such lease shall be a
3 commence-type lease and shall provide for a term not less than one
4 (1) year and not to exceed five (5) years and as long thereafter as
5 oil or gas may be produced therefrom in paying quantities, upon such
6 terms and conditions and in such quantities as the Commissioners
7 shall by rules and regulations prescribe. Each such lease shall
8 provide for the delivery to the state of a royalty of not less than
9 one-eighth (1/8) part of the oil or gas produced from the leased
10 premises or in lieu thereof, the payment to the state of the market
11 value of ~~said~~ such royalty interest, as the Commissioners may elect.
12 The leases shall be offered by public competition after notice of
13 the lease auction published one time not less than thirty (30) days
14 prior to the lease auction date in two newspapers authorized by law
15 to publish legal notices. One of the newspapers shall be published
16 in the county where the land is located or other newspaper as
17 authorized by Section 106 of Title 25 of the Oklahoma Statutes. The
18 other shall be a newspaper of general circulation in this state.
19 Such leasing shall be let by sealed bids and each lease awarded to
20 the highest responsible bidder, ~~such~~. Such oil and gas leases may
21 be assigned or encumbered only with the consent and approval of the
22 Commissioners of the Land Office; provided, the Commissioners have
23 the right to reject any and all bids. The Commissioners of the Land
24 Office shall provide any other notice of oil and gas lease sales to

1 all interested parties by any means it determines is needed to
2 attract the best competition.

3 SECTION 19. AMENDATORY 64 O.S. 2021, Section 1069, is
4 amended to read as follows:

5 Section 1069. A. The proceeds derived in bonuses and royalties
6 and from other inducements and considerations for the execution and
7 operation of the oil and gas leases as authorized in this title,
8 except oil and gas leases on state-owned lands set apart and
9 designated for the use, benefit, and occupancy of state educational
10 institutions, shall be for the use and benefit of the lands which
11 were granted by the United States to the State of Oklahoma, and to
12 the territory now comprising the area embraced within the state,
13 under the provisions of the Enabling Act and any and all other Acts
14 of Congress. Bonus and delay rental income received by the Land
15 Office and other income as designated by the Secretary of the Land
16 Office for transfer and received by the Land Office may be
17 distributed to current beneficiaries in like manner as lease income
18 received from surface leases, except that if determined to be in the
19 best interest of the trust, the distributions may be made upon a
20 schedule determined by a five-year rolling average of bonus and
21 delay rental income.

22 B. There is hereby created a revolving fund for the
23 Commissioners of the Land Office to be designated the "Multiyear
24 Education Distribution Stabilization Revolving Fund". The fund

1 shall be a continuing fund, not subject to fiscal year limitations,
2 and ~~shall consist of bonus and delay rental income received by the~~
3 ~~Commission~~ subject to distribution, if it is determined by the
4 ~~Commission~~ Commissioners to be in the best interest of the trust to
5 make distributions of ~~the income~~ any such funds upon a five-year
6 rolling average schedule as authorized in subsection A of this
7 section. Monies in the fund may be invested by the State Treasurer
8 in the manner prescribed in Section 89.1a et seq. of Title 62 of the
9 Oklahoma Statutes. Interest income derived from the investment of
10 monies in the fund shall be credited to and placed in the fund.

11 SECTION 20. AMENDATORY 64 O.S. 2021, Section 1071, is
12 amended to read as follows:

13 Section 1071. The lands described in Section ~~290~~ 1070 of this
14 title are to be leased under the same provisions as the school and
15 other lands of the State of Oklahoma.

16 SECTION 21. AMENDATORY 64 O.S. 2021, Section 1086, is
17 amended to read as follows:

18 Section 1086. Any instrument, easement, contract, or deed which
19 may be required in, or convenient to, the exercise of the powers
20 granted in Section ~~±~~ 1001 of this ~~act~~ title shall be executed by the
21 ~~chairman~~ chair or presiding officer and attested by the secretary,
22 if such instrument ~~be~~ is executed by a board or commission, and if
23 such instrument ~~be~~ is executed by an officer, it shall be signed by
24 ~~said~~ the officer. No such contract, easement, deed, or instrument

1 of conveyance shall be effective unless and until the approval of
2 the Governor is endorsed thereon in writing. The Commissioners of
3 the Land Office may via resolution convey the ability to execute
4 certain instruments, easements, contracts, and leases to the
5 Secretary of the Land Office.

6 SECTION 22. AMENDATORY 64 O.S. 2021, Section 1089, is
7 amended to read as follows:

8 Section 1089. Each and all of the rights, powers, and remedies
9 granted and conferred by the terms of ~~this act~~ the Commissioners of
10 the Land Office Modernization Act shall be cumulative and shall be
11 construed to be in addition to those already existing, except that
12 at any private or voluntary sale or exchange of state-owned lands by
13 the Commissioners of the Land Office such sale or exchange shall be
14 ~~held finally approved~~ only upon ~~resolution adopted by~~ a unanimous
15 vote of the voting members of the Commissioners of the Land Office
16 present.

17 SECTION 23. REPEALER 64 O.S. 2021, Sections 1014, 1021,
18 1030, 1050, 1054, and 1061, are hereby repealed.

19 SECTION 24. This act shall become effective November 1, 2026.
20

21 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
22 03/09/2026 - DO PASS, As Amended and Coauthored.
23
24